

Gold Trend — Strategy

XAUUSD 30-minute | trend-following with volatility-scaled pyramiding | tested 1 Dec 2019 – 30 Jul 2026 (6.7 years, 737 positions)

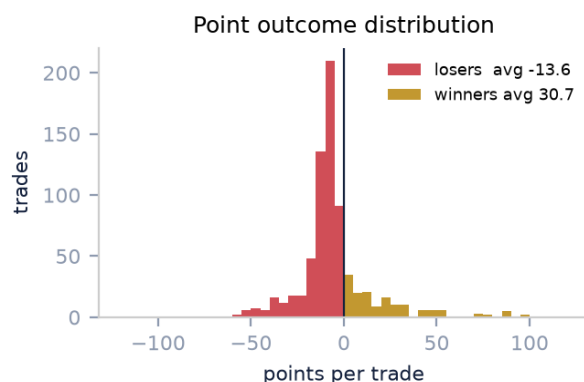
Profit factor	Net return	Max drawdown	CAGR	MAR	Win rate
1.834	+5,922%	33.80%	85.1%	2.52	21.7%

1. The question you asked: average winning points vs losing points

	Points per trade	In ATR	In dollars*
Average WIN	+30.67	+6.50	+\$8,139
Average LOSS	-13.63	-2.78	-\$1,231
Ratio (win : loss)	2.25 : 1	2.34 : 1	6.61 : 1
Median WIN	+17.63		
Median LOSS	-9.58		

*Dollar figures are on a compounding account that grew from \$10,000 to \$602,189, so the dollar ratio (6.61:1) is much larger than the point ratio (2.25:1). Later trades are simply bigger. The point ratio is the honest per-trade number.

THE MOST IMPORTANT NUMBER IN THIS REPORT. Average points per trade across all 737 positions is **-4.01 points**. That is *negative*. The strategy is profitable only because position size is concentrated in the winners: losers are cut before they can pyramid, winners carry four added units. **Traded at a fixed lot size this strategy loses money** (-2,955 points total). The pyramiding is not an enhancement — it is the edge itself.



2. Why the average trade loses points but the account still compounds

Adds reached	Trades	% of all	Win rate	Avg points	Total P&L
0 adds	223	30.3%	0.0%	-18.18	\$-194,128
1 adds	154	20.9%	0.0%	-13.90	\$-205,220
2 adds	104	14.1%	0.0%	-10.76	\$-193,385
3 adds	59	8.0%	0.0%	-6.16	\$-73,325
4 adds	197	26.7%	81.2%	+23.97	+\$1,258,247

A position only reaches four adds if it has already moved six ATR in your favour. That cohort is 26.7% of trades, wins 81.2% of the time, and produces **+\$1,258,247** while the other four cohorts lose \$666,058 between them.

3. Biggest wins and biggest losses

Ten largest winning positions

Entered	Side	Points	P&L	Held	Adds
2026-03-18 10:30	SHORT	+338.0	\$+117,991	26h	4
2026-01-27 20:00	LONG	+308.1	\$+74,302	26h	4
2026-03-20 13:30	SHORT	+173.8	\$+33,314	20h	4
2026-06-09 14:00	SHORT	+153.7	\$+56,766	34h	4
2025-10-03 07:30	LONG	+142.2	\$+56,498	74h	4
2026-02-20 06:00	LONG	+114.9	\$+45,850	41h	4
2026-01-18 23:00	LONG	+103.2	\$+23,817	62h	4
2025-12-19 13:00	LONG	+99.2	\$+48,493	47h	4
2026-01-08 15:00	LONG	+98.6	\$+31,532	74h	4
2026-05-26 00:00	SHORT	+89.8	\$+46,003	58h	4

Ten largest losing positions

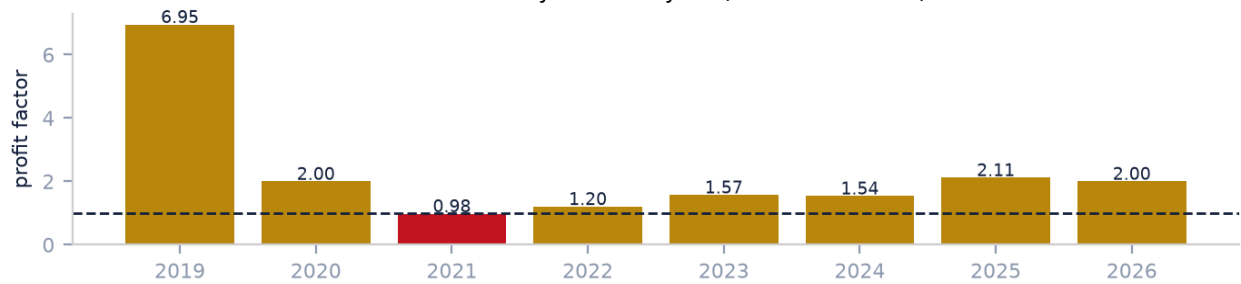
Entered	Side	Points	P&L	Held	Adds
2026-03-24 01:30	SHORT	-176.5	\$-3,949	20h	0
2026-06-17 19:00	SHORT	-101.8	\$-4,533	5h	0
2026-02-04 03:30	LONG	-99.3	\$-2,984	11h	0
2026-02-13 19:00	LONG	-83.4	\$-3,854	25h	0
2026-03-30 18:30	SHORT	-71.5	\$-3,737	6h	0
2026-04-17 12:00	LONG	-63.8	\$-23,399	9h	2
2026-06-26 02:30	SHORT	-57.1	\$-4,400	6h	0
2026-04-24 04:00	SHORT	-56.3	\$-4,188	7h	0
2026-04-01 15:00	LONG	-54.7	\$-3,622	9h	0
2026-03-10 13:00	LONG	-53.9	\$-3,721	5h	0

Note the asymmetry in **time**, not just size: winners are held 42 hours on average, losers 15 hours. The system's entire edge is that it stays in the good trades and leaves the bad ones quickly.

The single largest loss (–\$23,399, 17 Apr 2026) was a trade that had already pyramided twice before reversing. Losses of that size are a structural feature of adding to winners, not a malfunction. Expect them.

4. Performance by year

Profit factor by calendar year (1.0 = breakeven)

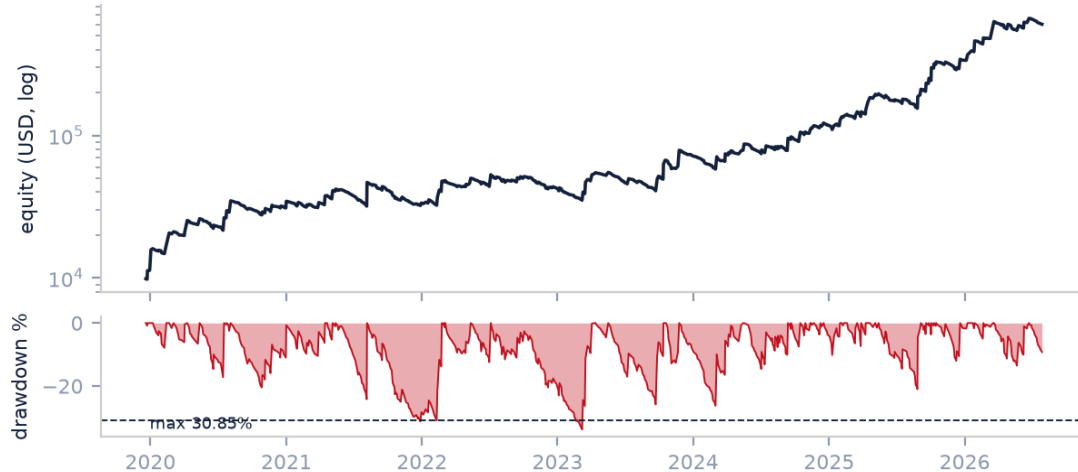


Year	Trades	Win rate	Profit factor	Avg win pts	Avg loss pts	P&L
2019	4	50.0%	6.95	+7.5	-3.5	\$+1,298
2020	97	19.6%	2.00	+26.8	-10.5	\$+23,238
2021	117	17.1%	0.98	+14.6	-8.6	\$-983
2022	115	23.5%	1.20	+13.1	-8.4	\$+9,142
2023	115	20.9%	1.57	+15.1	-8.1	\$+29,742
2024	114	20.2%	1.54	+22.3	-11.2	\$+45,417
2025	115	26.1%	2.11	+42.1	-20.6	\$+218,766
2026	60	25.0%	2.00	+106.6	-43.6	\$+265,568

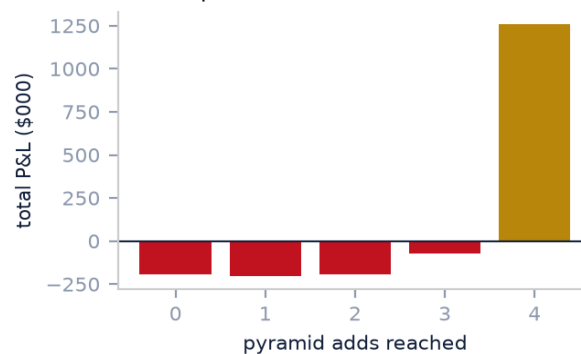
2021 is the only losing year (PF 0.98). Average point sizes grow through the sample because gold itself went from \$1,450 to \$4,100 — a 15-point move in 2020 is the same percentage as a 42-point move in 2026.

5. Equity curve and drawdown

Equity curve and underwater drawdown



All profit comes from 4-add trades



6. How the strategy actually works

Component	Rule
Entry trigger	Close breaks the highest high / lowest low of the prior 24 bars (12 hours)
Filter 1	Close above/below the 21-day EMA (regime gate)
Filter 2	Close above/below the 8-day SMA
Filter 3	Close above/below the 13-day SMA. All three must agree.
Short-only gate	The regime EMA must also be FALLING (2-day slope) before any short
Initial stop	4.24 x ATR(14) from entry - deliberately wide, outside the noise band
Exit	Chandelier trailing stop at 4.24 x ATR, ratcheting one way only. Nothing else.
Trail tightening	After a 20 ATR favourable run the trail tightens to 2.0 x ATR
Adds	Every 1.5 ATR of favourable movement, up to 4, each sized on the ATR at entry
Cooldown	24 bars (12 hours) flat after any exit before a new entry
Targets	NONE. Twenty target configurations were tested; every one reduced returns.

Exit statistics

Metric	All trades	Winners	Losers
Count	737	160 (21.7%)	577 (78.3%)
Average hold	20.7 h	42.1 h	14.7 h
Average points	-4.01	+30.67	-13.63
Largest	-	+338.0 pts	-176.5 pts
Exit reason	100% trailing stop		

7. Position sizing and account size

Position size = **account equity × 1% ÷ (4.24 × ATR)**. At gold \$4,081 with 30m ATR of 13.17 points, the stop distance is **55.8 points**, so each \$10,000 of account buys 1.79 ounces.

Account	Position (oz)	In lots	Peak stack*	Notional at peak	Verdict
\$2,000	0.36	0.004	1.79 oz	\$7,308	Cannot trade - size floors to zero
\$5,000	0.90	0.009	4.48 oz	\$18,271	Broken - takes ~9% of signals
\$10,000	1.79	0.018	8.95 oz	\$36,542	Works, leaks ~1/3 of return
\$25,000	4.48	0.045	22.39 oz	\$91,356	Recommended minimum
\$50,000	8.95	0.090	44.77 oz	\$182,712	Full fidelity
\$100,000	17.91	0.179	89.54 oz	\$365,424	Full fidelity

*Peak stack = the position after all four adds, roughly 5× the initial unit (3.65× account leverage). At 1:100 broker leverage that needs 3.7% of the account as margin; at 1:20 it needs 18.3%.

\$25,000 is the recommended minimum, and the reason is granularity, not risk. Gold has tripled since 2019, so a 1% risk budget now buys fewer whole ounces. Tested from today's price levels: at \$5,000 the strategy took 5 of 57 signals and lost money; at \$10,000 it returned +35% against an ideal +53%; at \$25,000 it took 57 of 57 and came within 1.8 points of ideal. If your broker supports 0.001 lot / micro-gold, \$10,000 behaves like \$50,000 and this constraint disappears.

8. How to trade it

#	Step
1	Chart XAUUSD, 30-minute. Leave every input at default; auto-scale derives the lookbacks from the timeframe. The dashboard shows what is actually in use.
2	Set slippage to your broker's real gold spread before trusting any figure. The shipped value is 0.20 points. Break-even is 1.2-1.5 points.

#	Step
3	Risk 1% per position (the Balanced profile). Do not raise it until you have lived through a full drawdown.
4	Take every signal. Skipping trades destroys the strategy - 26.7% of positions produce 100% of the profit and you cannot know in advance which.
5	Never move the stop closer or take profit early. The trail is the only exit and the edge is entirely in letting winners run.
6	Let the adds happen. If you cannot pyramid, do not trade this system at fixed size — see section 1.

9. Risks you must accept before funding it

Risk	The number
Long losing streaks	Longest run of consecutive losing positions: 25. 12 separate streaks of 10+, 4 of 15+. This is normal at a 21.7% win rate.
Profit concentration	The top 10 positions are ~95% of net profit. Miss them and you have a losing system.
Execution sensitivity	At 0.50 pt slippage returns fall sharply; at 1.50 pt the strategy is dead. This is the largest single risk and it is larger than any parameter.
Drawdown	30.85% on the TradingView deep test. Live is likely worse. On \$25,000 that is -\$7,750, and a 45% stress case is -\$11,250.
A losing year	2021 returned PF 0.98. A year of going nowhere is a normal outcome.
Regime dependence	Gold rose from \$1,450 to \$4,100 across the test. The system made money in gold's down years too, but it has never seen a multi-year bear market.

Validation summary

Test	Result
TradingView deep backtest	PF 1.788 vs 1.827 modelled; 2,020 entry orders vs 2,034 modelled (0.7% apart)
Second instrument (US30)	PF 1.469, +247%, 19.32% drawdown, settings unchanged
Random-entry null (30 seeds)	Champion at the 93rd percentile; the edge survives replacing the entry with a coin flip
Deflated Sharpe ratio	0.9996 assuming 1,000 trials
Probability of backtest overfitting	0.099 (below 0.5 means the selection beats random)

Report generated 3 August 2026 from 78,695 bars of XAUUSD 30-minute data. All figures include 0.07 commission and 0.20 points of slippage per side. Past backtested performance is not a prediction. This document is a research record, not investment advice.